VisiCorp 1978–1984

Teaching Note

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Note on the case

VisiCorp 1978–1984 traces the rise and collapse of the company that published VisiCalc, the first commercial spreadsheet. The case appears at first reading to be about competitive dynamics in the early personal computer software industry — VisiCalc's stunning early success, the rise of Lotus 1-2-3, the disappointment of Visi-On, and VisiCorp's eventual collapse and absorption into Paladin in late 1984.

That reading is correct as far as it goes, and it captures what most students will see on a first pass through the case. But it is not the case's central lesson. The central lesson concerns a contract — specifically, the 1979 marketing agreement between Personal Software (later VisiCorp) and Software Arts that gave Software Arts 35.7 percent royalties on direct sales of VisiCalc and reversion rights to the trademark on termination. The contract was not a peripheral problem that contributed to VisiCorp's troubles. It was the architecture within which every subsequent strategic move was made, and by 1983 it was the binding constraint on VisiCorp's ability to respond to Lotus 1-2-3.

Two of the case's three protagonists say so explicitly in the closing pages. Fylstra: *"Our biggest mistake was not finding a way to extract ourselves sooner from the situation with Software Arts. That problem was much larger than any of the problems we were having with VisiOn."* Folk: *"VisiCorp's most serious mistake was letting the relationship with Software Arts sour. In retrospect, we should have found a way to keep VisiCalc alive."*

A casual reading of the case will not surface the contract as the central artifact. Most students will read past Exhibit 2, register that "there was a lawsuit," and treat the legal dispute as one consequence among many. The teaching task is to slow the class down at the moment the contract enters the analysis and let its lopsided terms register. The pedagogical insight the case is designed to deliver — that strategic decisions made under genuine uncertainty often import institutional templates from adjacent industries that look similar but are not — depends on students confronting the contract as text rather than skimming it as background.

Course positioning

This case fits well in a strategy core course at the first-year MBA level, with strong applicability to courses on technology strategy, contracts and strategy, or strategy implementation. It pairs naturally with cases that examine make-vs-buy decisions (Honda, IBM PC), platform transitions (Microsoft Windows, Apple), or the strategic logic of contracting under uncertainty.

The case is most powerful when taught as the *second* or *third* case in a sequence on strategic decision-making, after students have developed some facility with competitive analysis. Taught too early, students will tend to see the lesson as "the contract was bad" — a conclusion that is

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true but trivial. Taught after students have learned to think structurally about competitive dynamics, the lesson lands differently: students see a strategically capable management team making reasonable decisions under genuine uncertainty, and they can begin to grasp why the trap was hard to see from inside it.

Teaching purpose

The case has three nested teaching objectives, intended to surface in order over the class session:

Surface objective. What was the nature of the invention represented by VisiCalc, and how did the spreadsheet category evolve as competitors entered? This is the analytic warmup. It establishes a shared technical vocabulary and surfaces the competitive dynamics most students will see on first reading.

Middle objective. Given that VisiCorp had a profitable spreadsheet, an enormous installed base of registered users, brand recognition, and a six-year head start, why did it lose the spreadsheet market to a startup? Specifically, why did its response to Lotus 1-2-3 take the form of Visi-On — an ambitious integrated environment — rather than a better spreadsheet? This is where the case's structural puzzle emerges. Visi-On was not a defensive response to Lotus; it was a *substitute strategy* pursued because the direct response was contractually constrained.

Deeper objective. Why did the 1979 contract take the shape it did? Could Fylstra, Bricklin, and Frankston have known better at the time, or was the contract a reasonable instrument given what was knowable in April 1979? This is where the generalizable strategic lesson lives: the importation of institutional templates from adjacent industries (in this case, music publishing) into industries whose economic structure differs in ways that are not yet visible.

Suggested teaching arc

What follows is a discussion guide rather than a script. The arc has six movements; each can take more or less time depending on class engagement. The total class typically runs 75 to 90 minutes.

Movement 1: What was VisiCalc, exactly?

Open the class by asking who in the room can program. Solicit three students who have written code in different languages — typically you will get a mix of Python, Excel macros, JavaScript, R, or whatever is current. Send all three to the board. Give them a small task: *"Write a program that prompts the user to enter ten numbers and then prints their sum."*

Give them three or four minutes. They will produce three syntactically different programs, all of which solve the problem. The programs will share certain features: explicit input statements, a loop, an accumulator variable, an output statement. The sequence of operations is specified in advance by the programmer.

When they return to their seats, ask the class: *"How would you do this in a spreadsheet?"* The answer is striking when stated aloud. You don't write a program. You don't specify a sequence of operations. You enter numbers in cells, and you write a formula in another cell that says *=SUM(A1:A10)*. The display updates instantly when any number changes. There is no input prompt, no loop, no accumulator, no separation between writing the program and running it.

This contrast is the entry point to understanding VisiCalc. The spreadsheet is not a faster way to write a program; it is a different category of object. As the case puts it, VisiCalc *"did not require*

the user to define the full structure of the model in advance, but encouraged incremental elaboration" and *"exploited the high 'visual bandwidth' of the personal computer."*

After the demonstration, ask the class to characterize what kind of advance VisiCalc represented. Push them past surface answers ("it was the first spreadsheet"). The substantive answer is that VisiCalc collapsed the distinction between programming and use — between specifying a procedure and executing it. The user was building a model and operating the model in the same act. This is the property that, as Wozniak observed in the case, sent Apple II sales into businesses that had no programmers.

This movement typically takes 15 minutes. Its purpose is to establish that VisiCalc was a category-defining product, not just a successful product. Students need to feel the magnitude of the invention before they can feel the magnitude of what was at stake when it was lost.

Movement 2: The competitive arc

Move from the invention to the market. Ask students to summarize what happened to VisiCalc commercially between 1979 and 1984. The case provides the timeline clearly: explosive early success, market dominance through 1982, peak revenues in early 1983, then steady decline as Lotus 1-2-3 took the spreadsheet category and Visi-On failed in the market.

Develop the question: *"Why did Lotus 1-2-3 win the spreadsheet category from VisiCalc?"* Students will surface several factors:

Lotus 1-2-3 was redesigned for the IBM PC, not ported from the Apple II.

Lotus 1-2-3 integrated graphics and database functions in addition to the spreadsheet.

Lotus was written in assembly language for performance.

Mitch Kapor knew the spreadsheet space intimately, having worked with VisiCorp.

VisiCalc on the IBM PC was effectively a port of the Apple II version and felt slow and limited by comparison.

These factors are real and the discussion should let them develop. But the puzzle the discussion is leading toward is structural: VisiCorp had vastly more resources than Lotus, an enormous installed base, and six years of market experience. Why didn't VisiCorp simply build a better spreadsheet?

Movement 3: The Visi-On puzzle

When students raise Visi-On as VisiCorp's response to the competitive threat — and they will — pause and let the question surface explicitly: *"Why Visi-On? Why didn't they just make a better spreadsheet?"*

This question often produces a brief silence. The competitive logic seems obvious in retrospect: a defensive response to Lotus would have been a redesigned VisiCalc with integrated graphics and database functions. Instead, VisiCorp invested heavily in an ambitious mouse-and-windows operating environment that arrived late, ran slowly, cost $1,765 in software alone, and required hardware most customers didn't have.

Push the class to articulate hypotheses. Common student responses:

"They got distracted by a shiny new technology."

"They overestimated the corporate market for windows."

"They thought Lotus was a temporary problem."

"They had hubris from VisiCalc's success."

Each of these has some truth in it, and the case provides evidence for several. But none is sufficient. VisiCorp had a competent management team. Fylstra and Opdendyk were not naive about competitive dynamics. They could see Lotus 1-2-3 in the market. They had the resources and the personnel to build a better spreadsheet. Why didn't they?

Hold the question open. The next movement provides the answer.

Movement 4: Reading the contract

This is the central pedagogical move of the class.

Tell the students: *"Open Exhibit 2. I want someone to read paragraph 12 aloud — the 'New Versions' clause."*

Pick a student. Ask them to read it aloud, slowly, exactly as written. The text is dense and the student will likely stumble in places. That is fine — let them read all of it.

The clause specifies that VisiCorp had the right to require Software Arts to develop new versions for other personal computers, but only on requests *received before December 31, 1980*. After that date, VisiCorp had the right to develop new versions itself only after offering Software Arts a right of first refusal. New versions developed by Software Arts during the contract term were owned by Software Arts and royalties applied. The contract had no termination date — it ran until *"the expiration of the last valid copyright anywhere in the world in the Product or any portion thereof."*

After paragraph 12 is read, ask: *"What does this mean for VisiCorp's position in 1982 when they want to compete with Lotus 1-2-3?"*

The answer, when students work it through, is that VisiCorp could not simply build a better VisiCalc. Any new version of the spreadsheet would either:

> Trigger Software Arts' right of first refusal, meaning the development would happen at Software Arts' pace and carry Software Arts' royalty.
>
> Require a legal argument that the new version was not really "a new version" of VisiCalc, exposing VisiCorp to a lawsuit it would likely lose.

Now ask another student to read paragraph 14 — the trademark clause. And paragraph 16 — the reversion clause. Read each aloud, slowly.

> Paragraph 14 specifies that the VisiCalc trademark belongs to VisiCorp during the contract, but reverts to Software Arts upon termination *"if such trademarks are used solely in connection with the Product."* The phrase *"used solely in connection with the Product"* is doing enormous work — it became the central legal question in the 1984 dispute, and Software Arts won it.
>
> Paragraph 16 specifies that material breach by VisiCorp triggers reversion of all rights to Software Arts. *Material breach* is undefined.

After all three clauses have been read, ask the class: *"In 1982, what is VisiCorp's position?"*

The answer that should emerge: VisiCorp owned the present, but Software Arts effectively owned the future. VisiCorp could not develop a competitive next-generation spreadsheet without either Software Arts' cooperation (slow, expensive, and at Software Arts' royalty rate) or a contractual fight that risked losing the VisiCalc trademark and customer base entirely. The strategically obvious move — invest heavily in a redesigned spreadsheet to defeat Lotus — was not available to VisiCorp on terms that made business sense.

Visi-On was not a strategic mistake committed in spite of the obvious right answer. It was a *workaround*. It was VisiCorp trying to build a spreadsheet (Visi-On Calc) that was *not* a "new version" of VisiCalc, in an environment (Visi-On) that justified doing so as a matter of platform strategy rather than product update. The Software Arts countersuit in 1984 made exactly this point: that Visi-On Calc was substantively a new VisiCalc and that royalties were owed.

It is worth dwelling on this realization. Most students will not have seen it on first reading of the case, even though the contract is in the appendix and the postmortems are explicit. The reason they will not have seen it is that the contract reads as boilerplate when skimmed, and students — like the participants in 1979 — skim contracts.

This is the pedagogical heart of the case. The strategic problem in 1982 was structurally invisible without reading the 1979 contract. The 1979 contract was structurally invisible to anyone who skimmed it, including, in important ways, to the parties who signed it.

This movement typically takes 20 to 25 minutes. Do not rush it. The slow public reading of contractual language is the device that converts the case from a competitive narrative into a strategic-judgment lesson.

Movement 5: Could it have been avoided?

Once the contractual structure is on the table, open the question: *"Could this impasse have been avoided or ameliorated? If you were Fylstra in April 1979, what would you have done differently?"*

This is where the case moves from analysis to judgment. Students will produce a range of suggestions:

Term limits on the contract.

A defined process for new versions that didn't depend on Software Arts' willingness.

Joint ownership of the trademark.

Pre-negotiated buyout provisions.

A royalty rate that adjusted with sales volume.

Allow the discussion to develop, then push the harder question: *"In April 1979, what would have made any of those provisions seem necessary?"*

The honest answer is *very little*. Consider what was knowable in April 1979:

Software Arts had two unproven founders and a prototype.

Personal Software was a young company that had sold games and a chess program.

The microcomputer software industry was tiny — Personal Software's 1979 revenues were $882,000.

No software publisher had ever had a product that made the hardware indispensable.

The 35.7 percent royalty rate was conservative compared to music publishing, the most relevant adjacent industry, where artist shares were often higher.

Both parties were small, hopeful, and roughly equal in negotiating power.

Fylstra was not foolish to use a music-publishing template. He was using the most relevant template available to him. The template fit the situation as he understood it. The reasons it would later fail him — that software's marginal cost is essentially zero, that software requires continuous development to remain competitive, that successful software products generate vastly more revenue than music records, that software trademarks become market-defining in ways music labels rarely do — were not yet visible from inside the industry. They became visible only after the fact, in part *because* of cases like VisiCorp.

This is the lesson the case is built to deliver. Strategic decisions made under genuine uncertainty are made with whatever institutional templates are at hand. Often the templates come from adjacent industries that *look* similar. The strategic risk is not foolishness — it is the structural difficulty of seeing how the new industry will differ from the templates that seem applicable. The discipline of strategic judgment includes the awareness that one's templates may be importing assumptions that will not hold.

This is also the moment to draw the parallel to other instances of the same pattern. SaaS pricing inheriting on-premise software's perpetual-license assumptions. Platform companies inheriting publisher liability frameworks. Crypto inheriting either securities-law or commodities-law templates depending on which is convenient. AI companies inheriting open-source distribution norms. In each case, the participants are not foolish; they are reaching for the nearest familiar template because the new structure is hard to see from inside it.

Movement 6: Wrap up and future history

Close with a brief future-history note. After 1984, several things happened that the case foreshadows:

> Lotus 1-2-3 dominated the spreadsheet category for nearly a decade until Microsoft Excel, originally developed for the Macintosh, displaced it. Lotus was eventually acquired by IBM.
>
> Mitch Kapor's $1.2 million payout from VisiCorp in 1981 — to release him from a 33 percent royalty contract — funded the founding of Lotus Development. The contractual escape that VisiCorp negotiated to relieve cost pressure on its product line directly capitalized its own destruction.
>
> Visi-On's technology was sold to Control Data for a rumored $2.5 million. It went nowhere.
>
> Microsoft Windows, announced as vaporware in December 1983, did not ship in usable form until 1990. VisiCorp's pre-announcement strategy at Comdex 1982 turned out to be premature; Microsoft's was prescient.
>
> Software publishing as Fylstra originally conceived it — pure publishing without development — never became the dominant industry structure. Software companies

became development companies first and publishers second, the inverse of what Fylstra had planned.

The 35.7 percent royalty rate, considered standard in 1979, fell to 10–15 percent by 1984 and continued to fall as the industry matured. Software publishing economics did not, in fact, look like music publishing economics.

The closing point: the participants in 1979 were not given the benefit of seeing what we now see. They were trying to build an industry that did not yet exist, using contractual templates from an industry that did. The discipline of strategic judgment is partly the discipline of asking, of any consequential decision: *what templates am I importing, and from where, and might they be importing assumptions that will not hold?*

Assignment questions

For students reading the case in advance, the following questions focus preparation:

- What was the nature of the technical advance that VisiCalc represented? Why was it a category-defining product rather than a faster way to do something that already existed?
- By 1982, VisiCorp had a profitable spreadsheet, enormous brand recognition, and an installed base of hundreds of thousands of users. Why did Lotus 1-2-3 take the spreadsheet category from VisiCorp? Why didn't VisiCorp simply make a better spreadsheet?
- Read Exhibit 2 carefully — particularly paragraphs 12, 14, and 16. What constraints did the 1979 marketing agreement place on VisiCorp's strategic options in 1982?
- In April 1979, what would you have advised Dan Fylstra to negotiate differently? What information would have been needed to know that those changes mattered?
- What general lesson does this case offer about the use of institutional templates from adjacent industries when negotiating contracts in emerging markets?

Closing observations for the instructor

A few things to watch for as you teach the case.

Resist the temptation to make Fylstra the villain. Some students will leave the contract reading with the conclusion that Fylstra was a poor negotiator who deserved what he got. This reading is wrong and pedagogically counterproductive. Fylstra was an experienced industry observer who used the most relevant template available to him. The case loses its power if it becomes a story about an individual's mistake rather than a structural feature of decision-making under genuine uncertainty.

Resist the temptation to make Bricklin and Frankston the villains either. They negotiated a contract that reflected their value contribution. They had no obligation to anticipate that the industry would develop in ways that made their royalty rate appear excessive in retrospect. The lawsuit was triggered by VisiCorp, not by Software Arts. When Software Arts countersued and ultimately won the trademark, they were exercising rights the contract gave them.

The case has no heroes. Both companies are gone — VisiCorp absorbed into Paladin in late 1984, Software Arts itself dissolved a few years later. The lesson is not that one side was right and the other wrong. The lesson is that the contract that bound them was an instrument neither side fully understood, written for an industry neither side could yet see.

The pedagogical move of reading the contract aloud has a deeper purpose. Students should leave the class with the experience of having skimmed past something that turned out to be central. This is a transferable habit of mind — the recognition that consequential text often hides in formal language that invites skimming. It applies to contracts, to terms of service, to acquisition agreements, to compensation structures, to anything where the legal language carries the strategic weight. The class is partly about VisiCorp; it is also about how to read.

This case rewards re-teaching. A strong instructor will find new threads in the case after teaching it several times. The contract analysis can be deepened (the New Versions clause has subtleties that go beyond what is described above). The Visi-On strategy can be reframed (was it the only available workaround, or were there others?). The future-history can be extended as new comparisons emerge (the AI industry's current contracting practices are full of templates borrowed from adjacent industries that may not survive the technology's actual economics). The case is durable in ways that competitive-narrative cases often are not.

Fylstra's 2004 Account: Pedagogical Summary --- added to this teaching note in 2010

https://archive.computerhistory.org/resources/access/text/2017/06/102738286-05-01-acc.pdf

What this document adds to the case

In May 2004, Dan Fylstra wrote a 20-page first-person account of VisiCalc's creation and destruction for the Computer History Museum's "PC Software: The First Decade" conference. He had declined to discuss the topic publicly for 20 years. The account adds three things the case itself cannot carry: explicit identification of structural mistakes, named moments where the trajectory could have been changed, and a stated lesson Fylstra now draws from the experience.

The "seeds of destruction" Fylstra identifies

Fylstra explicitly names three structural decisions made early — each reasonable at the time — that compounded into the eventual destruction of VisiCalc:

Two companies instead of one. Fylstra offered to bring Bricklin and Frankston into Personal Software as employees. They declined; they wanted to start their own company. Fylstra accepted this, and writes: *"in retrospect, this choice was the first seed of destruction for VisiCalc. If we had agreed to form one company, many problems that later arose might have been avoided altogether."*

The geographic separation. Personal Software's move from Boston to Sunnyvale in mid-1979 was excellent for marketing, but it ended day-to-day communication between the two companies. Each developed its own culture, stories, and version of the history. New hires learned different versions.

The professionalization of management. Both companies hired outside presidents (Opdendyk at VisiCorp, Lange at Software Arts) who had no equity in the founders' relationship. The principals stopped speaking directly because they didn't want to "go around" the people they had hired. *"Much communication just didn't happen."*

The merger that didn't happen

Most pedagogically useful for the "could it have been avoided" discussion: there was a moment when both sides were prepared to merge. Hank Smith from Venrock proposed it. Fylstra was ready. Bricklin and Frankston were also interested. Fylstra writes: *"If we had successfully negotiated a merger, I think that the entire VisiCalc story might have had a very different ending."*

But Opdendyk, newly hired as VisiCorp's president, felt the merger was unnecessary and expensive. Lange may or may not have weighed in. *"The merger idea simply wasn't pursued further."*

This is a sharper teaching point than students will get from the case alone. The structural problem was solvable as late as 1980, by people who saw it. It went unsolved because the newly professionalized management didn't share the founders' instinct that the relationship needed reconfiguring.

The lawsuit Fylstra now regrets

Fylstra reveals that VisiCorp filed the lawsuit only after receiving secondhand word that Software Arts intended to sue to block VisiOn's shipment. Fylstra paced for hours after filing, wanted to call Bricklin directly, and was talked out of it by VisiCorp's attorney. He later learned from Bricklin that Software Arts had not actually planned to sue — the report was wrong or distorted. *"This was ultimately my fault — I was chairman of VisiCorp, and could have made the call despite our attorney's and others' objections — but I chose not to do so."*

Fylstra's stated lesson

The most directly usable pedagogical line, from his closing summary:

"I would caution anyone against a software publishing arrangement when the product involved is too important to the business of either side."

This is the make-vs-buy lesson stated by the participant himself, in his own words. Fylstra contrasts this with Rich Melmon's later founding of Electronic Arts, which deliberately avoided having any single author dispute be important enough to threaten the company.

Why this matters for teaching

The Fylstra account converts the case from inferential analysis to confirmed lesson. Students reading the case construct the diagnosis themselves: the contract was structurally lopsided, the make-vs-buy boundary was wrong, the communication degraded. The Fylstra account confirms each of these from inside the experience, identifies specific moments where intervention might have worked, and offers his own statement of the generalizable lesson.

For the teaching arc, the account is most useful in two places:

Movement 5 ("Could it have been avoided?") — distribute or quote the merger passage. The class will have been speculating about whether the situation could have been salvaged. Fylstra's testimony that the participants themselves saw the problem and had a path out, but the path closed when professional management arrived, is the answer to the speculation.

Closing wrap-up — Fylstra's *"too important to the business of either side"* formulation gives students a portable principle they can carry into other contexts. It's more memorable than any reconstruction the instructor would offer.

One word of caution

The account is partisan. Fylstra is honest that he is "calling it as I saw it" and acknowledges he cannot claim "Mt. Olympus-like objectivity." He attributes specific motives to Software Arts (recognition over money) and characterizes Lange's behavior in ways Bricklin and Frankston would likely dispute. Used in class, the account should be framed as one participant's reflection, not as the definitive history. Bricklin's website and Frankston's own writings offer different perspectives on the same events.

Used carefully, this becomes a teaching asset rather than a problem: the partisan nature is itself instructive. Strategic disputes are remembered partisanly because the participants experienced them partisanly. The lesson about institutional templates and contractual hostage-taking does not require either side to have been the villain.